ERNST & WHITMAN LLP

Certified Public Accountants | PCAOB Registered Firm

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

Passionfruit Inc.

Consolidated Financial Statements

Fiscal Year Ended September 27, 2025

Firm Name	Ernst & Whitman LLP
PCAOB ID	1492
Auditor Tenure	Continuous since fiscal 2017 (9 years)
Engagement Partner	Karen E. Mehta, CPA
Reviewing Partner	Jonathan H. Bellamy, CPA
Office of Issuance	555 California Street, Suite 4200, San Francisco, CA 94104
Report Date	October 31, 2025
Opinion on Financial Statements	Unqualified
Opinion on Internal Control	Unqualified

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Passionfruit Inc.:

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Passionfruit Inc. and its subsidiaries (the "Company") as of September 27, 2025 and September 28, 2024, and the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended September 27, 2025, and the related notes (collectively, the "consolidated financial statements"). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of September 27, 2025 and September 28, 2024, and the results of its operations and its cash flows for each of the three years in the period ended September 27, 2025, in conformity with accounting principles generally accepted in the United States of America ("U.S. GAAP").

Opinion on Internal Control Over Financial Reporting

We have also audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) ("PCAOB"), the Company's internal control over financial reporting as of September 27, 2025, based on criteria established in *Internal Control — Integrated Framework (2013)* issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO). Our report dated October 31, 2025 expressed an **unqualified opinion** on the Company's internal control over financial reporting.

Basis for Opinion

These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's consolidated financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the U.S. Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the consolidated financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matters

The critical audit matters communicated below are matters arising from the current period audit of the consolidated financial statements that were communicated, or are required to be communicated, to the audit committee and that: (i) relate to accounts or disclosures that are material to the consolidated financial statements, and (ii) involved our especially challenging, subjective, or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matters below, providing separate opinions on the critical audit matters or on the accounts or disclosures to which they relate.

Critical Audit Matter 1 — Revenue Recognition: Multiple Performance Obligations

Description of the Matter

As described in Note 1 to the consolidated financial statements, the Company recognizes revenue from the sale of products that bundle hardware (such as the Pulse Watch and Passionfruit AirNote) together with non-essential cloud services delivered over time. For such arrangements, the Company is required to identify each distinct performance obligation in the contract and allocate the transaction price based on the relative standalone selling price of each obligation. Total net sales for fiscal 2025 were **$8,547 million**, of which **$2,297 million** related to Services and a meaningful portion of Products revenue is recognized over the estimated service period for bundled offerings.

Auditing the Company's identification of performance obligations and the allocation of transaction price required significant judgment because the determination of standalone selling prices for the implicit service component is not directly observable in many cases and requires estimation based on historical pricing, expected costs, and management's assessment of relative value to the customer.

How We Addressed the Matter in Our Audit

Our audit procedures included, among others: (i) obtaining an understanding of, evaluating the design of, and testing the operating effectiveness of internal controls over the identification of performance obligations and the allocation of transaction price; (ii) testing a sample of customer contracts and comparing the Company's identification of performance obligations to the contractual terms; (iii) evaluating management's methodology for estimating standalone selling prices, including performing independent recalculations on a sample basis; (iv) testing the completeness and accuracy of the underlying data used in management's estimates; and (v) evaluating the disclosures in the consolidated financial statements relating to revenue recognition.

Critical Audit Matter 2 — Goodwill Impairment Assessment

Description of the Matter

The Company's consolidated balance sheet as of September 27, 2025 included **goodwill and intangible assets of $1,025 million**. As described in the Company's accounting policies, the Company tests goodwill for impairment annually, or more frequently if events or changes in circumstances indicate that the carrying value may not be recoverable. The Company estimates the fair value of its reporting units primarily using a discounted cash flow model, which requires significant management judgment in determining future revenue growth rates, operating margins, discount rates, and terminal growth rates.

We identified the goodwill impairment assessment as a critical audit matter because the fair value estimate involves a high degree of subjectivity and the recoverability of goodwill is sensitive to changes in the underlying assumptions, particularly those relating to long-term revenue growth and the discount rate applied to projected cash flows.

How We Addressed the Matter in Our Audit

Our audit procedures included: (i) testing the design and operating effectiveness of internal controls over the Company's goodwill impairment process; (ii) evaluating the reasonableness of management's forecasts by comparing them to historical performance, externally available industry data, and approved Board strategy plans; (iii) involving our valuation specialists to independently assess the discount rate by reference to market-observable inputs and comparable peer companies; (iv) performing sensitivity analyses on key assumptions; and (v) evaluating the adequacy of the disclosures in the consolidated financial statements.

Critical Audit Matter 3 — Inventory Valuation and Obsolescence Reserves

Description of the Matter

As of September 27, 2025, inventory totaled **$780 million**. The Company is required to value inventory at the lower of cost or net realizable value and to maintain reserves for excess and obsolete inventory. The estimation of obsolescence reserves involves significant judgment, particularly in light of rapid product life cycles in the consumer hardware industry and the impact of new product introductions on the saleability of legacy stock-keeping units.

How We Addressed the Matter in Our Audit

Our audit procedures included: (i) testing the design and operating effectiveness of controls over inventory aging, demand forecasting and obsolescence reserve calculations; (ii) physically observing selected inventory counts at the Company's Reno bottling facility and Singapore distribution center; (iii) recomputing the obsolescence reserve on a sample basis using the Company's policy and underlying demand data; (iv) inquiring of operations and product management personnel regarding the lifecycle status of significant SKUs; and (v) comparing actual sales price realization in the period subsequent to year end to the carrying values recorded as of year end.

Other Matters

Going Concern

We evaluated whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date the consolidated financial statements are issued. Based on the audit evidence obtained, including the Company's **$3,070 million** of cash, cash equivalents and marketable securities, cash generated from operations of **$1,720 million** in fiscal 2025, undrawn revolving credit capacity, and absence of near-term debt maturities, we have **not identified conditions or events that raise substantial doubt** about the Company's ability to continue as a going concern.

Subsequent Events

We have evaluated subsequent events through October 31, 2025, the date the consolidated financial statements were available to be issued. No subsequent events were identified that would require adjustment to, or disclosure in, the consolidated financial statements other than those already disclosed by management.

Summary of Key Financial Statement Balances Audited

Caption	FY2025	FY2024
Total net sales	$8,547M	$7,932M
Gross profit	$3,778M	$3,419M
Operating income	$1,915M	$1,680M
Net income	$1,524M	$1,332M
Diluted earnings per share	$4.82	$4.18
Total assets	$9,820M	$8,887M
Long-term debt	$1,250M	$1,250M
Cash and marketable securities	$3,070M	$2,702M
Goodwill and intangibles, net	$1,025M	$975M
Inventories	$780M	$725M

/s/ Ernst & Whitman LLP
Ernst & Whitman LLP

We have served as the Company's auditor since 2017.

San Francisco, California
October 31, 2025